



## Online Travel

Contributes close to 60 per cent of the overall eCommerce business in India

## Going places

By 2010, online bookings will be worth \$6 billion from about \$1.75 billion in 2008

# Clear to travel

Cleartrip.com is a portal that caters to air and rail travel as well as hotel booking.



As Chief Operating Officer, PKX Thomas oversees all operations and services of the company. Thomas comes to Cleartrip with experience in the field, spanning over 16 years. He specializes in Infrastructure Management and Knowledge Management.

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### What are the concerns you face in terms of security?

If you look at Cleartrip, instances of some kind of data theft or someone flicking credit card information is unknown – it's never happened. This is because of the level of security which we provide on the site and the level of security that we have in terms of access control for developers or the NOC team; they won't be able to see the card details. This is because it is stored in that fashion.

Even when a customer calls on the telephone helpline the agents answering the call will not be able to know all the details. They will know the first few digits and the last few digits. This is as prescribed by the banks. Other issues in security are strangely enough from the RBI's side. The RBI recently came up with a directive that if you do an online transaction, you should be able to validate it on the basis of some information that is not on the card. It can be a password or PIN or anything.

Now the trouble is that very few banks can support it without a VbyV (verified by visa) transaction or a Master Secured transaction. The way this works is by directing the client from our site to the bank's site, from the bank side to the gateway site and then redirecting the whole thing back. Here the efficiency of the system depends on three other people. None of the banks or gateway providers will say that in case the site is down we'll cover your damages. The attitude is that, here is the service, please use it, if you can't then that's your problem.

### So currently what is the payment mode?

Currently it is through a gateway. You put your credit card and we have a validation mechanism. If your card is validated, it goes through a regular payment gateway so you are not redirected to another page. Most online transactions happen via credit card rather than debit card. When you go to the bank's site, your user experience changes. For example, some bank web

sites will compulsorily make you use a virtual keyboard. A shift towards VbyV implies a drop in business by 20 to 25 per cent. This is because many times consumers are not aware. The bank's web site will ask you for a password. The consumer may not be aware of it. Or perhaps it may ask you for certain details such as date of birth, which the consumer is very surprised answering and therefore wary of it. Ultimately, you just want to buy an air ticket, so why should you be asked for all these things – is what the customer thinks. Also, the moment redirecting to another page takes place, people are concerned if there is some kind of phishing going on. A regular guy is worried because he has no clue and an informed person is worried because he knows too much!

### Is there an alternative?

No there is none. Bank validation has to take place and with the impending RBI directive which will probably come into effect on 1 August, there is definitely going to be no alternative. This gives us two disadvantages. One is that being an Indian company, being in India having a gateway in India, we are bound by RBI guidelines. Somebody who is not an Indian Co and has an international gateway is not obliged to follow any guidelines. So it's not a level playing field. A foreign travel company offering an India-based product can get by. In effect, we're being discouraged from transacting online. If you are a non-India company and you have a gateway abroad, you don't have to worry. So with this, what happens is you can buy a product on say amazon.com but not indiatimes.com. So on indiatimes it's an entire bank redirected transaction

while on amazon it's a single click. So in an era of one click systems, we're doing it the hard way.

Also VbyV is not going to stop frauds from happening. If VbyV is a solution to stop frauds, then everybody might have done that. When a bank sells you a VbyV gateway, they always say that if your fraud goes beyond three per cent they're not responsible. So banks know that ultimately it's only as secure as a regular gateway. A phishing email is easy to identify, but you should know how. Plus you should know how to react to it. Education and that level of comfort is required. Ask freshers out of college – they'll know all this terminology, but when it comes to detecting a phishing attempt it's a different story. Awareness and education about eCommerce, online transactions is much needed.

Another issue that goes towards making consumers more comfortable about transacting online is building a brand that they can trust. Branding is very important. Somebody buying a ticket is actually paying in advance for a service that he is going to use in the future. The ticket comes to you via email. It's digital and so the thought comes that anybody can create that email. So what is the credibility that assures me that I can take this piece of paper and board a flight? That is where the brand is important.

### How do you resolve security issues?

Our fraud rates are very low. Much lower than the industry standards. Around 0.18 per cent. These frauds are what we call chargebacks. We catch most of the frauds, and many tickets are cancelled. However, whenever we cancel on account